

Cost of Financing and Management

LET US CONSIDER in more detail the organization and financing of Petroleum Corporation of America, mentioned in the last chapter. This was a large investment company formed for the purpose of specializing in securities of enterprises in the oil industry. The public was offered 3,250,000 shares of capital stock at \$34 per share. The company received therefore a net amount of \$31 per share, or \$100,750,000 in cash. It issued to unnamed recipients—presumably promoters, investment bankers and the management—warrants, good for five years, to buy 1,625,000 shares of additional stock, also at \$34 per share.

This example is representative of the investment trust financing of the period. Moreover, as we shall see, the technique on this score that developed in boom years was carried over through the ensuing depression, and it threatened to be accepted as the standard practice for stock financing of all kinds of enterprises. But there is good reason to ask the real meaning of a set-up of this kind, first, with respect to what the buyer of the stock gets for his money, and second, with respect to the position occupied by the investment banking houses floating these issues.

Cost of Management; Three Items. A new investment trust—such as Petroleum Corporation in January 1929—starts with two assets: cash and management. Buyers of the stock at \$34 per share were asked to pay for the management in three ways, *viz.*:

1. By the difference between what the stock cost them and the amount received by the corporation.

It is true that this difference of \$3 per share was paid not to the management but to those underwriting and selling the shares. But from the standpoint of the stock buyer the only justification for paying more for